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MEMORANDUM

Date: June 23, 2026
To: Board of Education
From: Michelle Morrison, Chief Financial Officer
CC: Superintendent Kimberlee Armstrong
Subject: Resolution to Amend the 2025-26 Adopted Budget, Amendment No. 2

BACKGROUND

Oregon Local Budget Law allows budget adjustments after adoption under prescribed guidelines. This routine, year-end alignment ensures that major appropriation categories accurately reflect actual spending patterns that occurred over the course of the fiscal year, maintaining strict compliance with state spending limitations.

The proposed amendment adjusts requirement (expenditure) categories within Fund 100 (General Fund) and Fund 200 (Special Revenue Funds) to align authorized appropriations with actual year-end projections reported in the April 2026 monthly financial report

The district remains actively committed to achieving its target of a 5% General Fund contingency minimum for the current 2025–26 fiscal year. In support of this goal, staff implemented year-end spending controls across the organization. Because final 2025–26 transaction data are not available until the close of the annual audit cycle, this amendment serves as a proactive compliance safeguard. Reallocating a portion of current capacity ensures legal appropriation compliance across major categories while the full savings from the spending freeze and furlough days materialize through the final June closing process.

100 - General Fund Adjustments

Requirement (i.e. Expense) Changes

- Increase Instruction appropriations to align with current spending projections.
- Increase Support Services appropriations to align with current spending projections.
- Decrease Enterprise and Community Services appropriations to align with current spending projections.

- Decrease Transfer of Funds appropriations to align with current spending projections.
- Decrease Contingency appropriations (technical transfer of current-year capacity).

200 - Special Revenue Fund Adjustments

Requirement (i.e. Expense) Changes

- Increase Facilities Acquisition & Construction appropriations to align with current spending projections.
- Decrease Enterprise & Community Services appropriations to align with current spending projections.

RELATED POLICIES/BEST PRACTICES

Oregon Local Budget Law (ORS 294.463): Authorizes the governing body to transfer appropriations between categories within a fund via resolution at a regularly scheduled public meeting.

PPS Board Reserve Funds Policy 8.10.025-P: Requires a Board resolution to approve fund transfers within the statutory 15% threshold for contingency reallocations.

ANALYSIS OF SITUATION

Oregon Local Budget Law prohibits districts from spending in excess of approved appropriation levels at the major function level. Passing this resolution proactively adjusts those ceilings to match actual operations, ensuring full regulatory compliance before the fiscal year concludes.

Should the Board choose not to pass this resolution, appropriation levels may be exceeded and potentially in violation of Oregon Local Budget Law.

FISCAL IMPACT

This resolution is a legal reallocation of existing capacity; it does not increase the net total expenditures of the overall budget or create new financial obligations.

ENGAGEMENT (IF APPLICABLE)

PPS Audit Committee Members were informed of the amendment via email on May 22, 2026.

TIMELINE FOR IMPLEMENTATION / EVALUATION

N/A

BOARD OPTIONS WITH ANALYSIS

1. Approve the Resolution (Recommended): The District will close out the 2025-26 fiscal year with all major function categories aligned to early indicator maximum spend thresholds to ensure compliance with state law.
2. Do Not Approve the Resolution: Final actual expenditures may exceed adopted category ceilings, resulting in a technical violation of Oregon Local Budget Law that would be noted in the annual independent audit.

STAFF RECOMMENDATION

Staff recommends that the Board pass the proposed resolution to amend the 2025-26 budget.

As Chief Financial Officer and PPS Leadership Member, I have reviewed this staff report.

MM (Initials)

ATTACHMENTS

- Resolution
- Attachment A - Adjustments to the 2025-26 Amended Budget